EXCLUSIVE

IAS PRELIMS 2026

CURRENT AFFAIRS

REVISION

GS-1 (DYNAMIC)

MODULE – 55

INDIAN ECONOMY - 11

ANDHRA PRADESH GROUP I / GROUP II ASPIRANTS

MESSAGE FROM GV RAO SIR

- I am Ending my UPSC CSE Journey with Prelims & Mains 2026.
- Later, I am switching over to the Cause of Young Children.
- Before complete switch over, I want to dedicate for 5 months from 1st June 2026 to 31st October 2026 towards furthering the prospects of Group I / Group II aspirants in Andhra Pradesh. This effort will be fully 'Exam oriented"

We solicit your valuable suggestions in this context.

WhatsApp 91824 66351

I shall be in regular touch through WhatsApp with each one of you … GV Rao

The raising import dependence, partly the outcome of falling domestic energy output, is now reflected in the national gas crisis, with many consumers having to wait in queues for hours and days for cooking gas cylinders.

LOOK AT THE PRIME MINISTER'S STATEMENT AT THE URJA SANGAM IN 2015!

- The Prime Minister, while speaking at the Urja Sangam, India's biggest hydrocarbon event at the time, in Delhi, in March 2015, said that India's energy import dependence was 77%.
- He urged energy sector stakeholders to increase domestic oil and gas production and reduce import dependence from 77% to 67% by 2022 and further to 50% by 2030.
- However, India's import dependence of crude oil and natural gas has increased significantly. It was 80.6% in 2015 for crude oil, and this stands at 88.6% now. Similarly, the import dependence of natural gas increased from 40.7% to 50.1% during the past 11 years.

PRESENT STATUS OF IMPORT DEPENDENCE

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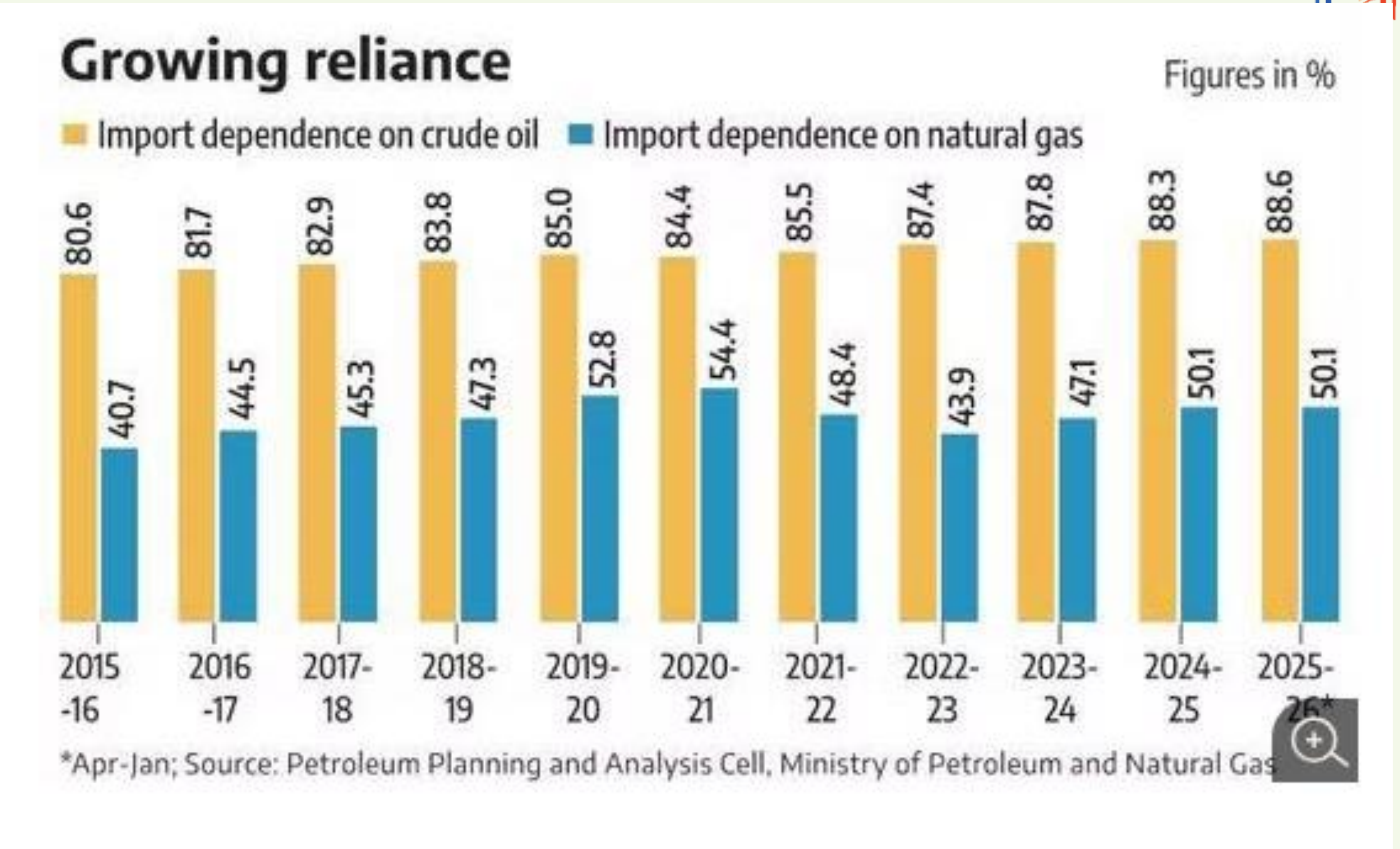

THIS IS THE PRESENT STATUS OF LPG

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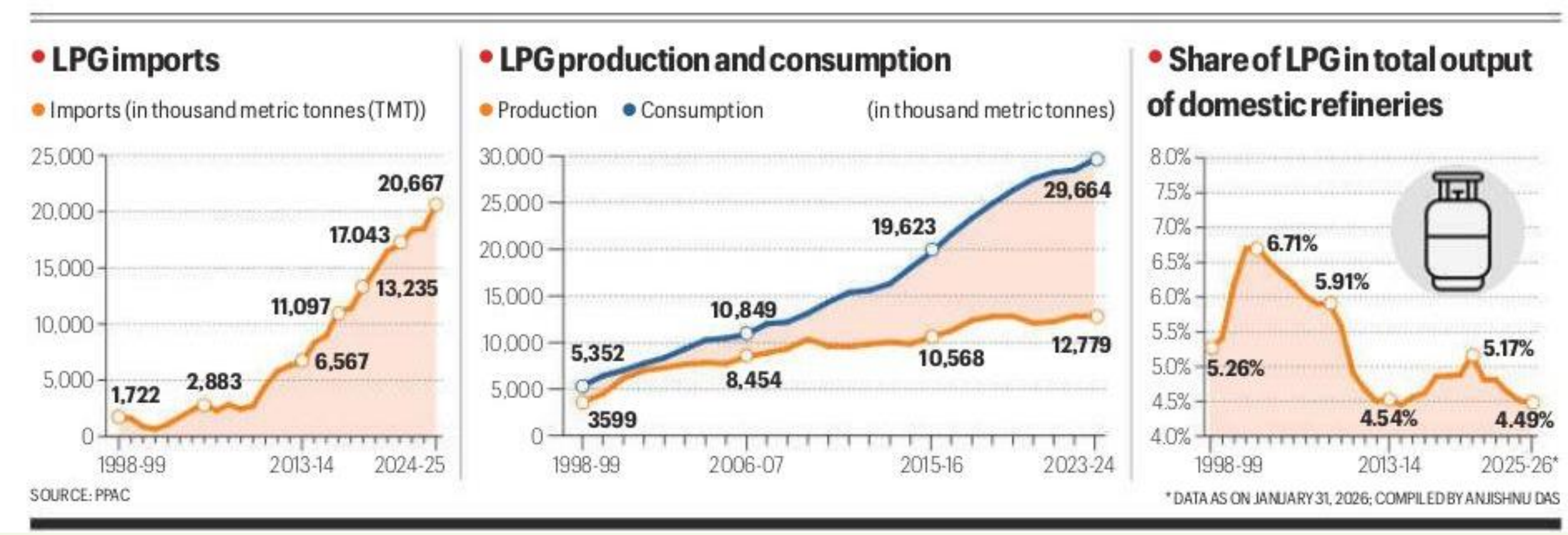


DOMESTIC OIL & GAS EXPLORATION AND PRODUCTION HAVE DECLINED OVER THE YEARS!

- The main reason is the age of India's hydrocarbon assets.
- It is also incidental to note that there were several policy changes brought in the past 10 years to make the oil and gas sector more investor-friendly.

Oil and gas is the biggest item in the country's import bill at around 160-180 billion dollars per year, depending on the price.

SEVERAL POLICY REFORMS SINCE 2014

- Production sharing contract policy, 2014.
- Discovered small field policy, 2015.
- Hydrocarbon Exploration and Licensing Policy (HELP), 2016.
- Policy for extension of PSCs in 2016 and 2017.
- Policy for early monetization of coal-bed methane, 2017.
- National Data Repository, 2017.
- Policy to promote and incentivize enhanced recovery methods for oil and gas, 2018.

More recently, the government freed up 1 million square kilometer of no-go areas offshore for exploration after blocking them for decades.

SPECIAL ADDITIONAL EXCISE DUTY CUT BY Rs. 10 ON BOTH DIESEL AND PETROL

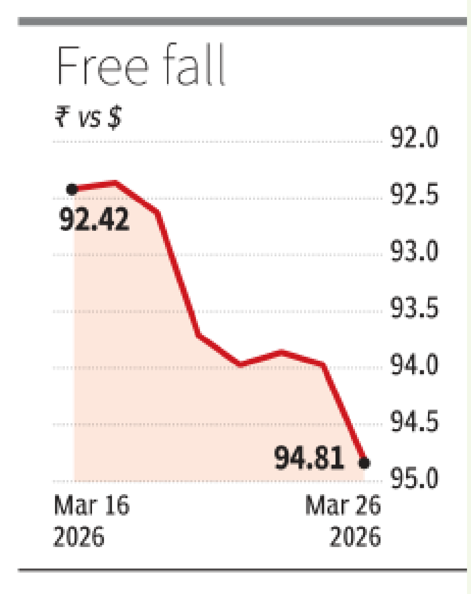
Big relief

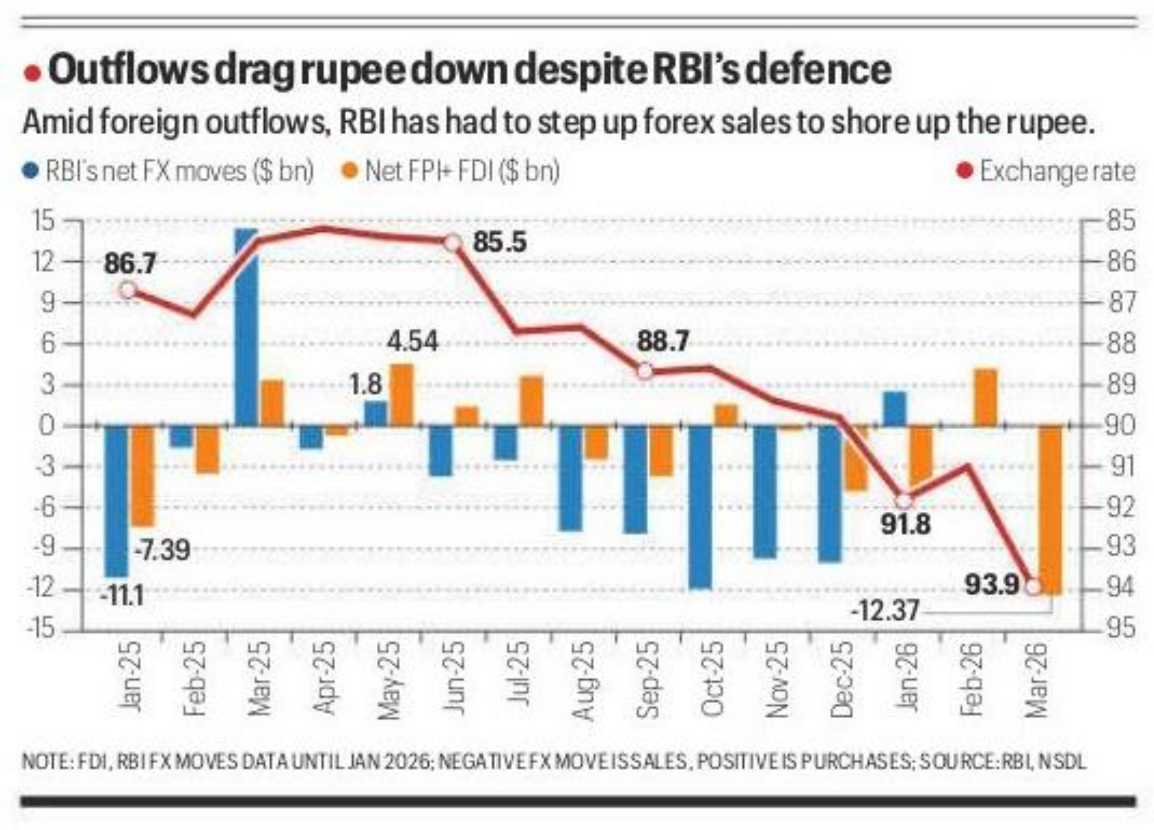
(₹ per litre)

	Unbranded **Petrol**		Unbranded **Diesel**	
	Earlier	Now	Earlier	Now
Basic excise duty	1.4	1.4	1.8	1.8
Special additional excise duty	13	3	10	0
Agriculture infrastructure & development cess	2.5	2.5	4	4
Additional excise duty (road & infrastructure cess)	5	5	2	2
Total	21.9	11.9	17.8	7.8

Source: PPAC

THIS IS THE TRAJECTORY OF RUPEE OVER THE LAST 15 MONTHS





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key components of India's balance of payments position during the past five years.

Key components of India's Balance of Payments (ALL FIGURES IN $ BILLION)

	2020-21	2021-22	2022-23	2023-24	2024-25	Apr-Dec 2025
1. TRADE BALANCE	**-102.15**	**-189.46**	**-265.29**	**-244.91**	**-286.95**	**-251.62**
a. Exports	296.3	429.16	456.07	441.44	442.08	333.37
b. Imports	398.45	618.62	721.36	686.35	729.03	584.99
2. NET INVISIBLES	**126.06**	**150.69**	**198.24**	**218.8**	**263.89**	**221.38**
a. Remittances	80.19	89.13	112.47	118.71	135.43	110.88
b. Software	100	122.09	146.77	160.33	180.63	150.35
3. C.A.B.*	**23.91**	**-38.77**	**-67.05**	**-26.11**	**-23.06**	**-30.24**
4. CAPITAL FLOWS	**63.37**	**86.27**	**57.92**	**89.81**	**18.03**	**-0.58**

*CURRENT ACCOUNT BALANCE; BOTH REMITTANCES (PRIVATE TRANSFERS) AND EXPORTS OF SOFTWARE SERVICES ARE IN GROSS TERMS; CAPITAL FLOWS INCLUDES ERRORS & OMISSIONS. SOURCE: RESERVE BANK OF INDIA.

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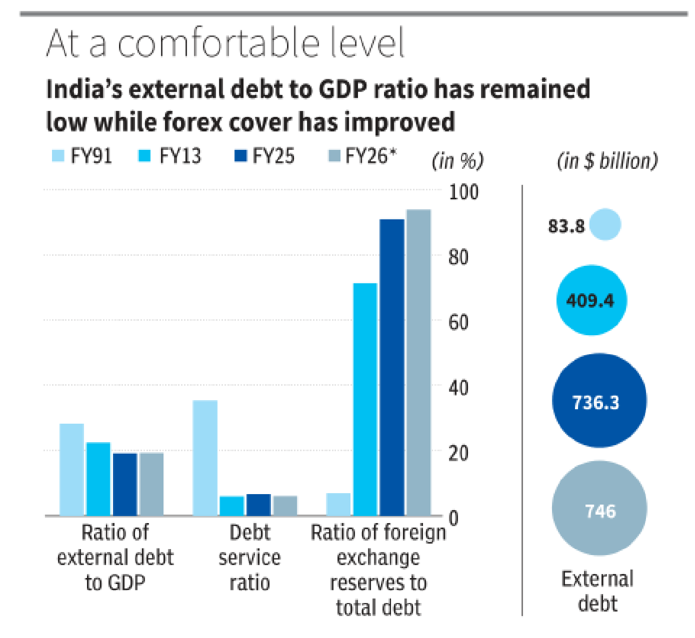
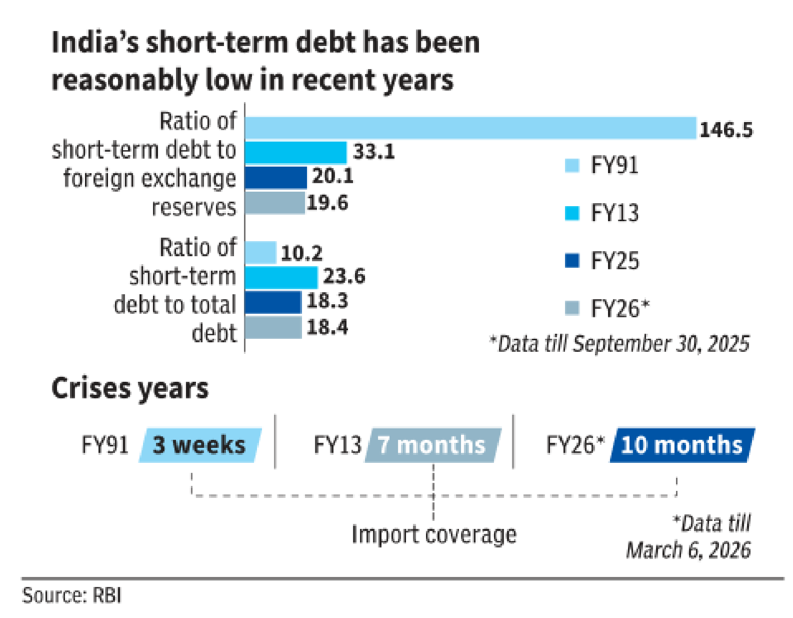
These images give an idea about India's external debt position





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SINCERE THANKS
FOR VIEWING THIS VIDEO

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